The Rich Report

U.S. ECONOMICS NEWS

◆ **AI Import Surge:** The AI buildout is driving the trade gap — imports of computers, accessories, semiconductors, and telecom equipment are up $332 billion year-to-date, more than the entire increase in the deficit. Taiwan imports are up 60.5% this year, while China has slipped to fourth among U.S. trade partners.[3]

◆ **Services Slow:** The ISM Non-Manufacturing index fell to 54.5 in October, its second straight monthly decline, with business activity down to 53.8 and new orders to 55.9. Still, the index has stayed above 53 for eleven consecutive months — the longest streak since 2022 — with fifteen of seventeen service industries reporting expansion.[3]

◆ **Services Costs:** Hiring picked up even as growth cooled — the employment index rose to 51.4 from 50.1, and the backlog of orders hit 58.0, its highest since 2022. But the prices paid index stayed near a four-year high at 73.0, the seventh reading above 70 this year, with fuel costs squeezing margins as firms hold off passing expenses to customers.[3]

◆ **Rate Limits:** The Fed held rates steady but left the door open for another hike, yet the inflation surge is an energy supply shock from the Iran war and the partial Strait of Hormuz closure. Higher rates can't produce another barrel of oil or reopen a shipping route, and they risk straining rate-sensitive sectors without addressing the cause.[3]

◆ **Underlying Cooling:** Beneath the headline, underlying inflation is cooling — six of the nine measures on the Atlanta Fed's Underlying Inflation Dashboard are lower than a year ago. Money supply growth has returned to its ~6% historical trend versus the 42% pandemic surge, and core PCE sits around 2.6–2.8% against the Fed's 2% target.[3]

◆ **Dividend Hedge:** S&P 500 dividends per share grew at a 5.88% compound annual rate from 1979 to 2025, nearly double the 3.19% pace of consumer prices, and total dividends reached $724 billion in 2025, up 5.4% year over year — a long-run hedge against inflation's erosion of purchasing power.[3]

◆ **Jobs Beat:** Payrolls rose 165,000 in October, beating every forecast on Bloomberg, with prior months revised up 84,000 for a net gain of 249,000. Unemployment ticked down to 4.1%, civilian employment rose 463,000, and the labor force grew 421,000 — a broad-based gain led by professional services (+70,000) and health care (+55,000).[3]

◆ **Wage Strength:** Average hourly earnings rose 0.4% in October and 3.1% year over year, while third-quarter productivity grew 3.6% annualized and unit labor costs fell 0.7%. Jobless claims dropped to 189,000, the lowest since 1969, defying fears of an AI-driven job apocalypse as manufacturing and construction added 16,000 jobs in October.[3]

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DIGITAL ASSETS NEWS

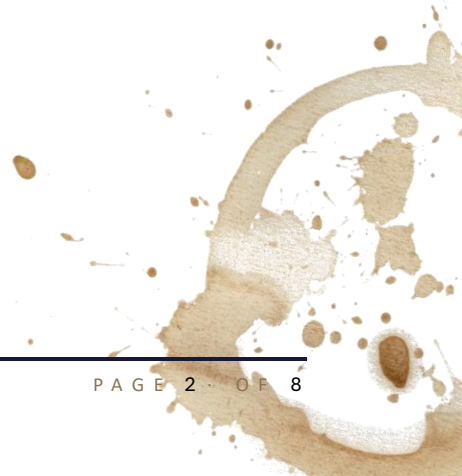
◆ **ETFs:** By November 5, U.S. spot bitcoin ETFs had swung to a $502 million net outflow for 2026 after four straight days of redemptions, including $430.2 million in one day and $869.8 million from November 2 to 5. Assets fell to $96.65 billion from $113.29 billion at year-end, November 5 liquidations hit $1.26 billion, and Morgan Stanley's MSBT fund took in $783 million even as the sector bled.[5]

◆ **CLARITY Act:** Democrats' takeover of both chambers has further dimmed prospects for the CLARITY Act, the crypto market-structure bill that failed a Senate procedural vote 49–50 in September under Republican control. Crypto PACs spent roughly $170.5 million on the elections, industry leaders expect more scrutiny of President Trump's crypto interests, and the bill dies January 3 if it is not passed in the lame-duck session.[5]

◆ **Tokenization:** Efforts to put securities on blockchains and expand stablecoin payments may withstand Democrats' midterm gains, proceeding under existing laws, industry experts told CoinDesk. The GENIUS Act, which passed with bipartisan support, takes effect January 18, and the SEC has proposed bringing blockchain tech into transfer-agent rules and easing requirements for tokenized securities venues.[5]

◆ **Tokenized Equities:** Broadridge, Computershare, Equiniti, and Superstate joined Securitize and tZERO as transfer agents for the NYSE's planned tokenized securities platform, together keeping records for nearly 5,000 listed companies, including almost 99% of the S&P 500. But 49 of the 62 companies first picked for the separate OKX–ICE venue objected, about 79%, including Amazon, Tesla, SpaceX, Netflix, SoFi, and Lam Research.[5]

◆ **Binance:** Binance has replenished about 98% of the $6.3 billion stolen in the October 29 hack, the largest theft from a crypto exchange on record, and expanded its zero-knowledge proof of reserves to 44 tokens after completing the ten-token proof on November 2. Withdrawals have reopened in phases since November 1, though customers had pulled $3.64 billion, or 2.1% of the exchange's assets.[5]



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GEOPOLITICS NEWS

◆ **Australia:** The Reserve Bank lifted its cash rate to 4.85%, the highest in 18 years and its fifth hike of 2026, warning inflation will take longer to tame than expected. The 6–3 vote split the board, with three members preferring to hold at 4.60%, and the move lands as another blow to mortgage holders.[1]

◆ **Canada:** Canada and China extended their deal lowering Beijing's agricultural tariffs through the end of 2028, pledging to keep talking about boosting Canadian exports. The original arrangement was struck in January during Prime Minister Mark Carney's visit to China, the first by a Canadian leader since 2017, as both countries deepen ties amid U.S. tariff pressure.[1]

◆ **Iran:** Iran and the United States remain far from a deal to end their war, a senior Iranian official said, even as mediator Qatar stepped up efforts to avert renewed fighting after the midterms. Secretary of State Marco Rubio said Tehran's demands are "outrageous and ridiculous," while President Trump said new strikes are "highly unlikely" if talks make substantial progress — and Supreme Leader Khamenei said concessions will not change U.S. hostility.[1]

◆ **Israel:** Arab parties offered to break decades of precedent and support a Jewish-led government to end Prime Minister Benjamin Netanyahu's rule, after record Arab voter turnout. The Joint List would back an anti-Netanyahu government without joining it, but Netanyahu's position also weakened as an ultra-Orthodox party withheld support, leaving President Isaac Herzog to choose a candidate by November 11 after the October 27 election ended in deadlock.[1]

◆ **Israel:** President Trump said he made a deal with Prime Minister Netanyahu that Washington will stop $4 billion in annual funding to Israel after the end of 2026, arguing Israel no longer needs it. It was not immediately clear which funding he meant — a memorandum providing $3.8 billion in annual military aid runs to 2028 — and Netanyahu's office did not immediately comment.[1]

◆ **United States:** Democrats seized control of both the Senate and House in a sweeping midterm repudiation of President Trump, winning in Republican strongholds for the first time in generations. In Texas, Democrats won a Senate seat and ousted three-term Governor Greg Abbott; Kansas elected its first Democratic senator since the Great Depression, and South Carolina rejected Trump's hand-picked Senate candidate.[1]

◆ **United States:** President Trump said the U.S. is close to a trade deal with Canada, while Prime Minister Mark Carney said work remains, though Washington has withdrawn some earlier demands — including one giving it final say over Canada's future trade deals. The two countries have slapped billions of dollars in tariffs on each other, an issue in northern border states ahead of the midterms.[1]

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THE GOOD NEWS

◆ **AI Security:** An unreleased internal research model found critical vulnerabilities in widely used browsers and operating systems, producing five attack chains that led to remote code execution with little to no user interaction. The flaws, which could have affected billions of users, were reported to vendors under coordinated disclosure, giving developers 90 days to patch before details are discussed publicly.[2]

◆ **Clean Energy:** China's clean-energy exports in 2026 — solar panels, batteries, and electric vehicles — are on track to cut emissions beyond its borders by 2%, avoiding around 450 million tonnes of CO2, roughly Brazil's annual emissions. The impact grew 26% year-on-year in the first three quarters, after rising 36% in 2025, as exported clean tech displaces fossil fuels in destination countries.[2]

◆ **Housing Reform:** In 2026, about one-third of U.S. states — from North Carolina to Idaho and New York to Kansas — passed significant housing reforms, enabling construction near commerce, apartments, accessory dwelling units, and starter homes, and letting churches and nonprofits build on land they own. The bipartisan push reflects a growing consensus that shortages, high rents, and homelessness stem from policy choices states can fix.[2]

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DIVIDEND PORTFOLIO NEWS

- **ATO:** Atmos Energy reported GAAP EPS of $8.94, beating by $0.48, raised its quarterly dividend 9% to $1.09 per share, and outlined a $29 billion five-year capital plan targeting 6%–8% EPS growth from the fiscal 2027 midpoint.[4]
- **CAT:** Anthropic struck a $3.4 billion generator deal to secure data-center power, a direct tailwind for Caterpillar's power-generation business, as the data-center buildout drives demand for backup power. Democrats' midterm sweep raises new risks for defense, aerospace, and AI infrastructure names, however.[4]
- **CEG:** Constellation Energy reported third-quarter adjusted EPS of $5.06, beating the $3.90 bar by $1.17, on revenue of $9.55 billion, and raised full-year guidance for the second time this year to $12.50–$12.80.[4]
- **LRCX:** Lam Research announced a $25 billion share buyback and declared a $0.33 quarterly dividend, a strong capital-return package.[4]
- **NTR:** Nutrien reported non-GAAP EPS of $0.61, missing by $0.15, though revenue of $6.06 billion beat by $420 million, and declared a $0.55 quarterly dividend.[4]
- **QCOM:** Qualcomm reported Q4 non-GAAP EPS of $2.17, beating by a penny, on revenue of $10.32B. Auto sales surged 89%, Qualcomm targets a 60%+ non-handset jump and $5B in fiscal 2027 data-center revenue, teamed with SpaceX on Starlink Mobile, and Alphabet initiated a $548M stake.[4]
- **SSNC:** SS&C plans a $1 billion convertible note offering to refinance 2027 debt, pushing out maturities and locking in financing ahead of the coming year's redemptions. The move is balance-sheet housekeeping rather than new growth spending, but it removes a near-term refinancing overhang.[4]

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GROWTH PORTFOLIO NEWS

- **AMD:** AMD reported Q3 non-GAAP EPS of $2.09, beating by $0.15, on revenue of $13.38 billion, up 45% year over year as data-center sales doubled to $8.5 billion, and forecast more than 80% revenue growth in 2027.[4]
- **CVX:** QatarEnergy agreed to buy a Namibia exploration stake from Chevron, continuing the reshaping of offshore portfolios as majors prune exploration positions.[4]
- **FCX:** Freeport approved a $4.5 billion Bagdad expansion to boost copper and molybdenum output.[4]
- **HRMY:** Harmony Biosciences missed third-quarter estimates and outlined 2026 WAKIX net revenue of $1.00–$1.04 billion as a CEO transition begins.[4]
- **NOW:** ServiceNow expanded its partnership with LTM to scale agentic AI and accelerate joint go-to-market.[4]
- **NVDA:** Nvidia's board opened an independent probe after reports that CEO Jensen Huang was targeted by a foreign-intelligence effort, and the stock fell 4% Monday to near $179, down 9% Thursday and now lower for 2026.[4]
- **TSM:** Taiwan set new short-selling limits to aid its beaten stock market as the AI selloff hammered chip names and Japan's Nikkei entered a bear market.[4]
- **VST:** Vistra reported Q3 EPS of $3.25 on revenue of $6.35 billion, with adjusted EBITDA up 50% year over year to $2.378 billion, and outlined 2027 adjusted EBITDA of $7.7–$8.5 billion after the Cogentrix close and a Meta Perry power deal.[4]
- **YOU:** Clear Secure reported third-quarter GAAP EPS of $0.52, beating by $0.02, on revenue of $292.9 million, beating by $6.25 million, forecast fourth-quarter revenue of $299–$302 million, and raised its 2026 free-cash-flow outlook to at least $490 million.[4]

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SUMMARY

In regard to the United States Economy, the week brought a jobs report and cooling underlying inflation, though the details were mixed. Payrolls rose 165,000 in October with wages up 3.1% over the year, while services growth slowed and prices paid stayed near a four-year high. The AI buildout is driving a record trade gap, the Fed held rates as an energy supply shock limits what hikes can fix, and dividends kept outpacing inflation.

In the world of digital assets, bitcoin swung wildly, exchange-traded funds kept bleeding, and Washington's regulatory outlook darkened. Spot bitcoin funds swung to a $502 million net outflow for 2026, the CLARITY Act looks dead after Democrats swept Congress, and tokenization may prove the resilient corner as the GENIUS Act takes effect in January. Binance, meanwhile, has replenished about 98% of the $6.3 billion stolen in its record hack.

Recently around the globe, the midterm results redrew the political map and its consequences spread quickly. Democrats took both chambers of Congress, Canada and China extended their tariff deal through 2028, and Australia's central bank lifted rates to an 18-year high. Iran and the United States remain far from a deal, Israel's election ended in deadlock with its prime minister weakened, and Washington said it will stop $4 billion in annual funding to Israel.

For the good news, an AI research model found critical flaws in widely used browsers and operating systems before attackers could, giving vendors 90 days to patch vulnerabilities that could have affected billions. China's clean-energy exports are on track to cut emissions abroad by 2% this year, and about one-third of U.S. states passed housing reforms to make building homes easier, a bipartisan recognition that shortages are a policy choice.

In the news for the dividend portfolio, Constellation Energy headlined earnings with adjusted EPS of $5.06, beating the bar by $1.17, and raised guidance again, while Atmos Energy raised its dividend 9% and outlined a $29 billion capital plan. Lam Research announced a $25 billion buyback, Qualcomm's auto sales surged 89% as it targets $5 billion in fiscal 2027 data-center revenue, and Caterpillar stands to gain from Anthropic's $3.4 billion generator deal.

And, for the growth portfolio, Nvidia's board opened a probe into reports its chief executive was targeted by a foreign-intelligence effort, sending shares lower in a bruising week for the sector, while AMD's data-center sales doubled and Clear Secure raised its cash-flow outlook. Vistra outlined 2027 EBITDA of $7.7–$8.5 billion, Freeport approved a $4.5 billion copper expansion, and Taiwan set short-selling limits as the chip selloff swept the region.

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RESOURCES

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